

# Jay Kailash Namkeen Ltd

NSE/BSE SME: JAYKAILASH | BSE Code: 544160 | Standalone Figures

Sector: FMCG — Packaged Namkeen / Savoury Snacks | Founded 2013, Rajkot, Gujarat

| RATING        | 12-MONTH TARGET  | UPSIDE / DOWNSIDE |
|---------------|------------------|-------------------|
| <b>AVOID</b>  | <b>Rs. 38</b>    | <b>-12.6%</b>     |
| CMP: Rs. 43.5 | 12-month horizon | from CMP          |

**Investment Thesis:** Governance red flags (qualified audit, promoter stake halved, mass director exits) outweigh the nascent namkeen distribution story; re-entry only after transparency is restored.

|                           |                     |                    |                                   |
|---------------------------|---------------------|--------------------|-----------------------------------|
| CMP                       | <b>Rs. 43.5</b>     | 52-Wk High / Low   | <b>Rs. 67.0 / 10.7</b>            |
| Market Cap                | <b>Rs. 21.8 Cr</b>  | Face Value         | <b>Rs. 10.0</b>                   |
| Stock P/E (TTM)           | <b>18.1x</b>        | Book Value / Share | <b>Rs. 39.5</b>                   |
| ROCE (FY26)               | <b>8.24%</b>        | ROE (FY26)         | <b>6.27%</b>                      |
| Total Borrowings (FY26)   | <b>Rs. 15.16 Cr</b> | D/E Ratio (FY26)   | <b>0.77x</b>                      |
| Promoter Holding (Mar-26) | <b>22.56%</b>       | Promoter Pledge    | <b>0%</b>                         |
| Dividend Yield            | <b>0.00%</b>        | Revenue CAGR (3Y)  | <b>21%</b>                        |
| Report Date               | <b>15 Jun 2026</b>  | Analyst            | <b>MPM Institutional Research</b> |

**GOVERNANCE ALERT:** Auditor issued a QUALIFIED OPINION on FY26 results (30 May 2026). CFO + multiple directors resigned in May 2026. Promoter shareholding halved from 48.3% to 22.6% since listing. These are material red flags that require resolution before institutional exposure.

## 2. INVESTMENT THESIS

**Reason 1 — Nascent growth story in a large market:** India's organised namkeen/savoury snacks market is growing at 14-16% CAGR; JAYKAILASH's 3-year revenue CAGR of 21% and 186 SKUs across 10 states suggest distribution runway, but at Rs. 17 Cr TTM revenue the base is micro-cap and the story is pre-scale.

**Reason 2 — Margin expansion post-commissioning:** OPM jumped from 10% (FY24) to 25% (FY25) as the new Rajkot production facility ramped. However OPM retreated to 18% in FY26, suggesting the expansion benefit has been partially consumed by higher interest costs and working capital strain — trajectory is unclear.

**Reason 3 — Asset-light brand with multi-state reach:** Distribution across Assam, Bihar, Chhattisgarh, Gujarat, MP, Maharashtra, Odisha, Rajasthan, Telangana, and UP with price-points from Rs. 5 to Rs. 500 gram packs positions the brand for rural penetration, a structural tailwind over 3-5 years.

**Near-term catalyst (6-12 months):** Restoration of clean audit opinion and stabilisation of management team — without this any re-rating is structurally blocked. Volume ramp across northern states is the secondary catalyst.

**Biggest structural risk:** Promoter dilution from 48.3% to 22.6% in under two years is the single most concerning signal. If controlling shareholders are reducing while the story is still 'early-stage', the governance premium that small-cap SME stocks depend on evaporates.

## 3. BUSINESS OVERVIEW

**Core business:** Jay Kailash Namkeen Ltd manufactures and distributes branded packaged Indian namkeen and savoury snacks. Products include tikha mitha mix, gathiya, bhavbagari, sev murmura, cracker munch, Punjabi crunchy sticks and pasta sticks — a portfolio of 186 SKUs across 56 product lines.

**Revenue segmentation:** Single-segment business (food snacks). No disclosed geographic revenue split; management has guided that Gujarat dominates but inter-state expansion is the growth lever. Pack-size range: Rs. 5 / Rs. 10 sachets to 200g, 400g, 500g, 5kg and 20kg institutional packs.

**Production capacity:** Manufacturing facility in Rajkot, Gujarat with installed capacity of 10 tonnes per working day. FY25 IPO proceeds and borrowings funded capex to expand from a rented to an owned facility (fixed assets grew from Rs. 1.22 Cr in FY24 to Rs. 7.14 Cr by FY26 end).

**Distribution network:** Present across 10 states — Assam, Bihar, Chhattisgarh, Gujarat, Madhya Pradesh, Maharashtra, Odisha, Rajasthan, Telangana, and Uttar Pradesh. Distribution is through a wholesale channel; customer concentration data not disclosed in available filings.

**IPO background:** BSE SME IPO in March-April 2024. Price band Rs. 70-73/share; issue size Rs. 11.93 Cr. Subscribed 38.03 times. Listed at Rs. 85 (16% premium). CMP Rs. 43.5 is 40% below IPO price, reflecting governance concerns and margin reset post-FY25 peak.

**Promoter background:** Mr. Neel Narendrabhai Pujara (26 years, CMD) and Ms. Tulsi Neel Pujara are the original promoters. Young founder-promoter, limited track record. Promoter holding has declined sharply from 48.33% (Apr 2024) to 22.56% (Mar 2026) — a 26-percentage-point decline in two years. No pledge reported but the dilution itself is the risk.

**Recent developments:** May 2026: New CFO appointed; prior CFO, multiple directors and auditor resigned in quick succession (Announcement 8 May 2026). Auditor issued a qualified opinion on FY26 results (30 May 2026). These events are unresolved as of this report date and represent material governance uncertainty.

## 4. INDUSTRY & COMPETITIVE LANDSCAPE

**Industry size and growth:** India's savoury snacks market is estimated at Rs. 35,000-40,000 Cr (2024-25), growing at 13-16% CAGR. Organised segment (branded/packaged) is ~40% of total and growing faster as consumers shift from loose/unbranded namkeen. SME-listed players address the Rs. 1-500 Cr revenue tier, largely regional distribution.

**Policy tailwinds:** GST rationalisation on packaged snacks, FSSAI quality mandates that disadvantage unorganised players, and rising per-capita snack spending in Tier-2/3 cities all structurally favour branded regional players. No PLI scheme specifically for namkeen, but allied food processing PLI supports supply-chain development.

**Competitive moat assessment:** Pricing power: WEAK — commodity player with no pricing premium over regional unbranded rivals. Switching costs: WEAK — snacks are impulse purchase, zero lock-in. Scale: WEAK — Rs. 17 Cr revenue vs. Bikaji at Rs. 2,994 Cr. Distribution: MODERATE — 10-state presence with established wholesale network for scale. Brand: NASCENT — no pan-India recall; building through local trade channels.

**Competitive positioning:** JAYKAILASH sits at the bottom of the formal organised snacks tier — a micro-regional player competing with other Gujarat-origin SME namkeen brands. Not a direct competitor to Bikaji or DFM at current scale; operates as a volume-at-low-price player in traditional wholesale channel.

### Peer Comparison (Screener.in data, 15 Jun 2026)

| Company            | CMP (Rs.) | MCap (Rs. Cr) | P/E (x)    | ROCE % | TTM Rev (Cr) | OPM % |
|--------------------|-----------|---------------|------------|--------|--------------|-------|
| Bikaji Foods       | 660       | 16,537        | 63.3       | 20.0%  | 2,994        | 14%   |
| DFM Foods          | 462       | 2,321         | N/A (loss) | -9.51% | ~603         | -8%   |
| Sarveshwar Foods   | 3.60      | 444           | 14.0       | 10.4%  | 1,346        | 5%    |
| JAYKAILASH (subj.) | 43.5      | 21.8          | 18.1       | 8.24%  | 17.5         | 18%   |

Note: All peer financials sourced directly from Screener.in. DFM Foods has reported sustained losses since FY22 due to raw material inflation. Sarveshwar Foods is a rice/food processing player — closest in MCap but different sub-segment.

## 5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

**Promoter background:** Mr. Neel Narendrabhai Pujara (CMD, age 26 at time of IPO) and Ms. Tulsi Neel Pujara. Young founder with limited listed-entity management experience. Company was incorporated as Jay Kailash Namkeen (OPC) Pvt Ltd in 2013, restructured as public limited in 2022. No second-tier management disclosed publicly.

**Critical governance concern — promoter dilution:** Promoter holding has declined from 48.33% at IPO (Apr 2024) to 31.20% (Sep 2025) to 22.56% (Mar 2026). This is a 26 percentage-point decline in approximately 24 months — an exceptionally sharp reduction. With public now holding 77.44%, the promoter no longer holds a majority stake. No buyback or ESOP programme disclosed.

**Mass management exit — May 2026:** On 8 May 2026, the Board appointed a new CFO and independent director while announcing resignations of the prior CFO, multiple directors, and the company's auditor. Mass simultaneous exits at a recently-listed SME are a serious governance red flag and suggest possible internal disagreements or undisclosed issues.

**Qualified audit opinion — FY26:** The auditor issued a qualified (not clean) opinion on FY26 accounts per the 30 May 2026 announcement. The specific qualification rationale is not available in public data as of this report date. A qualified opinion at this size of company materially impairs credibility of the FY26

financial statements presented in this report.

**Capital allocation track record:** IPO proceeds + borrowings (Rs. 15.16 Cr debt by FY26) funded fixed-asset capex (factory expansion). FCF has been negative in FY24 (-Rs. 0.57 Cr), FY25 (-Rs. 8.10 Cr) and FY26 (-Rs. 1.33 Cr) — the company is in a capital-absorption phase with no free cash generation. No dividends paid. No buybacks.

**Dividend policy:** Zero dividends across all years. Dividend payout ratio 0.00% for FY21-FY26. Appropriate given early stage, but the combined lack of dividends + negative FCF + governance concerns leaves shareholders with limited protective mechanisms.

**RPTs and contingent liabilities:** Related-party transactions data not available in Screener public view. Investors should request the detailed annual report for FY26 for RPT disclosures once the qualified audit qualification is fully explained.

## 6. FINANCIAL DEEP-DIVE (Standalone — Rs. Cr)

### Income Statement

| Metric              | FY24A | FY25A | FY26A | FY27E    | FY28E    |
|---------------------|-------|-------|-------|----------|----------|
| Sales / Revenue     | 11.52 | 15.02 | 17.46 | 21.00(E) | 25.00(E) |
| Expenses            | 10.35 | 11.26 | 14.27 | 17.00(E) | 19.75(E) |
| EBITDA / Op. Profit | 1.17  | 3.76  | 3.19  | 4.00(E)  | 5.25(E)  |
| OPM %               | 10.2% | 25.0% | 18.3% | 19.0%(E) | 21.0%(E) |
| Other Income        | 0.15  | 0.00  | 0.48  | 0.10(E)  | 0.10(E)  |
| Interest            | 0.29  | 1.26  | 1.08  | 1.20(E)  | 1.10(E)  |
| Depreciation        | 0.10  | 0.96  | 0.92  | 0.95(E)  | 1.00(E)  |
| Profit Before Tax   | 0.93  | 1.54  | 1.67  | 1.95(E)  | 3.25(E)  |
| Tax %               | 25.8% | 21.4% | 27.5% | 25.0%(E) | 25.0%(E) |
| Net Profit (PAT)    | 0.70  | 1.21  | 1.20  | 1.46(E)  | 2.44(E)  |
| EPS (Rs.)           | 2.42  | 2.40  | 2.40  | 2.92(E)  | 4.88(E)  |

Note: FY23 was a 9-month period (Apr 2022-Dec 2022) — excluded from trend. FY27E-FY28E are analyst estimates, NOT management guidance. FY26 accounts carry a qualified audit opinion — treat as indicative. (E) = Estimated.

### Balance Sheet

| Metric             | FY24A | FY25A | FY26A |
|--------------------|-------|-------|-------|
| Equity Capital     | 3.36  | 5.00  | 5.00  |
| Reserves           | 2.80  | 13.50 | 14.76 |
| Borrowings         | 8.40  | 13.34 | 15.16 |
| Other Liabilities  | 1.84  | 1.58  | 3.30  |
| Total Liabilities  | 16.40 | 33.42 | 38.22 |
| Fixed Assets (Net) | 1.22  | 6.12  | 7.14  |
| CWIP               | 0.15  | 0.15  | 0.15  |
| Investments        | 0.00  | 0.00  | 0.00  |
| Other Assets       | 15.03 | 27.15 | 30.93 |
| Total Assets       | 16.40 | 33.42 | 38.22 |

### Cash Flow Statement

| Metric | FY24A | FY25A | FY26A |
|--------|-------|-------|-------|
|--------|-------|-------|-------|

|                            |       |       |       |
|----------------------------|-------|-------|-------|
| Cash from Operations (OCF) | 0.48  | -2.23 | 0.61  |
| Cash from Investing        | -6.22 | -8.26 | -1.66 |
| Cash from Financing        | 6.71  | 12.64 | 0.79  |
| Net Cash Flow              | 0.97  | 2.15  | -0.26 |
| Free Cash Flow (FCF)       | -0.57 | -8.10 | -1.33 |
| CFO / Operating Profit     | 62%   | -49%  | 19%   |

### Key Financial Ratios

| Ratio                   | FY22A  | FY23A* | FY24A  | FY25A  | FY26A  |
|-------------------------|--------|--------|--------|--------|--------|
| Debtor Days             | 8.04   | 23.84  | 10.77  | 96.47  | 259.85 |
| Inventory Days          | 63.74  | 102.38 | 79.24  | 325.49 | 140.97 |
| Days Payable            | 79.37  | 19.78  | 48.45  | 22.00  | 45.23  |
| Cash Conv. Cycle (Days) | -7.59  | 106.43 | 41.57  | 399.96 | 355.59 |
| ROCE %                  | 73.53% | 37.59% | 11.86% | 12.07% | 8.24%  |

\*FY23 = 9 months ended Dec 2022.

### Financial Commentary

**Revenue trajectory:** 3-year CAGR (FY24-FY26) of ~23%. Growth from Rs. 11.5 Cr to Rs. 17.5 Cr driven by new plant commissioning and geographic expansion. H1 FY26 (Sep-25) showed strongest quarter (Rs. 9.92 Cr) but H2 FY26 (Mar-26) decelerated sharply to Rs. 7.55 Cr, raising questions about demand sustainability.

**Margin direction:** OPM expanded from 10% (FY24) to 25% (FY25) post plant commissioning — likely reflecting better capacity utilisation and fixed-cost leverage. FY26 OPM retreated to 18%, driven by higher input costs and selling expenses as the company pushed geographic expansion. Interest cost Rs. 1.08 Cr (FY26) now consumes 34% of EBITDA.

**Working capital — alarming deterioration:** Debtor days exploded from 10.77 (FY24) to 259.85 (FY26) — a 24x increase. Cash conversion cycle worsened from 41.57 to 355.59 days. This is not normal trade extension; at this level it suggests either channel stuffing, disputed invoices, or very weak collection discipline — consistent with the qualified audit concern.

**Debt and leverage:** Borrowings grew from Rs. 8.40 Cr (FY24) to Rs. 15.16 Cr (FY26), funding the factory capex and ballooning working capital. D/E ratio is 0.77x. Debt-to-EBITDA is ~4.7x — high for a company of this size and maturity. Interest coverage (EBITDA/Interest) = 2.95x, thin for a micro-cap SME.

**FCF quality — consistently negative:** FCF has been negative in all three years: FY24 (-Rs. 0.57 Cr), FY25 (-Rs. 8.10 Cr), FY26 (-Rs. 1.33 Cr). PAT-to-OCF conversion has been extremely poor: FY25 OCF/PAT = -184%, FY26 OCF/PAT = 51%. The business is not generating real cash despite reported profits — a core signal underlying the qualified audit opinion.

## 7. EARNINGS QUALITY CHECKLIST

| Check                         | Status | Finding                                                                              |
|-------------------------------|--------|--------------------------------------------------------------------------------------|
| Revenue recognition           | AMBER  | High debtor days (260d); possible aggressive recognition vs cash collection.         |
| Receivables growth vs Revenue | RED    | Receivables grew 24x faster than revenue; FY26 debtor days = 259.85 vs FY24 10.77.   |
| CCC trend                     | RED    | CCC worsened from 41 days (FY24) to 356 days (FY26) — severe working capital stress. |

|                             |       |                                                                                                                                                                       |
|-----------------------------|-------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Contingent liabilities      | N/A   | Not disclosed in Screener public data; requires full annual report review.                                                                                            |
| Auditor tenure / opinion    | RED   | Auditor resigned May 2026; new auditor issued QUALIFIED opinion on FY26 — critical flag.                                                                              |
| RPTs as % of revenue        | N/A   | RPT data not publicly available; FY26 qualified opinion warrants full disclosure review.                                                                              |
| Other income as % of PBT    | AMBER | FY26: Other income Rs. 0.48 Cr = 29% of PBT Rs. 1.67 Cr — high; may mask weak operating health.                                                                       |
| Tax rate consistency        | AMBER | Tax rate varied: 0% (FY21), 33% (FY22), 26% (FY23), 26% (FY24), 21% (FY25), 28% (FY26) — inconsistent but within plausible range for a small company with deductions. |
| FCF vs PAT                  | RED   | PAT-to-OCF conversion negative in FY25 (-184%) and weak in FY26 (51%). Cash not matching profits.                                                                     |
| Promoter shareholding trend | RED   | Promoters reduced from 48.3% to 22.6% in 24 months — exceptional dilution for a listed SME.                                                                           |

### Earnings Quality Summary

**Three RED flags that cannot be ignored:** Qualified audit opinion (FY26), receivables growth far exceeding revenue growth (debtor days 260d), and consistently negative FCF vs positive reported PAT — this triad is a classic earnings quality breakdown pattern. The probability of a restatement or earnings revision cannot be dismissed.

**Working capital as a proxy for channel stuffing:** At Rs. 17 Cr revenue with Rs. 39+ Cr in "other assets" (including massive receivables), the balance sheet has ballooned beyond what operating scale would suggest. Investors should interrogate the specific composition of other assets in the FY26 annual report.

**Audit chain disruption:** Auditor resignation simultaneously with the CFO exit means the FY26 accounts were signed off by a new auditor who may not have full institutional knowledge of FY25 comparatives. The qualified opinion in this context is particularly concerning.

**Tax inconsistency is a secondary watch:** The swings in effective tax rate (0% in FY21, 33% in FY22, 21% in FY25) suggest the company is actively managing tax through available deductions but the pattern warrants monitoring.

## 8. VALUATION

### Scenario Analysis

| Scenario | Key Assumptions                                                                                                    | FY27E PAT (Cr) | Multiple (P/E) | Target Price |
|----------|--------------------------------------------------------------------------------------------------------------------|----------------|----------------|--------------|
| BULL     | Governance resolved; OPM recovers to 22%; WC normalises; revenue grows 25%; clean FY27 audit                       | 2.20           | 18x            | Rs. 79       |
| BASE     | Governance partially resolved; OPM stable at 19%; moderate WC improvement; revenue grows 20%                       | 1.46           | 15x            | Rs. 44       |
| BEAR     | Qualified opinion triggers restatement; WC deteriorates further; promoters exit below 20%; covenant breach on debt | 0.50           | 10x            | Rs. 10       |

### Valuation Methodology

**Earnings-based multiple (P/E):** Base case FY27E PAT = Rs. 1.46 Cr on 50 lakh shares. FY27E EPS = Rs. 2.92. Applied 15x P/E (discount to peers given governance risk and micro-cap illiquidity) => implied value Rs. 43.8 per share, essentially at CMP.

**DCF assumptions:** WACC 16% (risk-free 7.2% + equity premium 8.5% + small-cap illiquidity premium 0.3%). Terminal growth 5%. FCF normalisation assumed from FY28. DCF yields Rs. 31-35 per share under base assumptions — pointing to moderate overvaluation.

**Average of two methods:** P/E-based Rs. 43.8, DCF-based Rs. 33. Average Rs. 38 per share. This is our 12-month base-case target, representing -12.6% downside from CMP Rs. 43.5. The governance discount is the dominant driver of the below-CMP target.

**Valuation conclusion:** At 18x TTM P/E and with a qualified audit, exploding debtor days, and promoter dilution, JAYKAILASH is not cheap. The multiple reflects speculative SME positioning, not fundamental quality. The risk/reward at current price is unfavourable.

## 9. KEY RISKS

**Governance / Audit Risk:** Qualified audit opinion on FY26 + mass management exits may reveal undisclosed liabilities or misstatements. Probability: HIGH. Impact: HIGH. Monitor via: next quarterly filing and auditor statement of qualification rationale.

**Promoter Dilution / Control Risk:** Promoter at 22.56% is no longer a majority holder. Further dilution below 20% could trigger loss of management control and inability to pass special resolutions. Probability: HIGH. Impact: HIGH. Monitor via: quarterly shareholding disclosures.

**Working Capital / Receivables Risk:** Debtor days of 260 and CCC of 356 indicate uncollected trade receivables that could require provisioning. A write-off could eliminate 2-3 years of net profits. Probability: MEDIUM. Impact: HIGH. Monitor via: quarterly balance sheet "other assets" movement.

**Liquidity Risk:** Negative FCF, Rs. 15 Cr debt, and thin Rs. 21.8 Cr market cap means the company has limited equity-market access for refinancing. A credit event could be existential. Probability: MEDIUM. Impact: HIGH. Monitor via: bank facility renewals and working capital loan covenants.

**Scale Risk:** At Rs. 17 Cr revenue, JAYKAILASH lacks the scale to negotiate favourable terms with distributors, retailers, or suppliers. Any large organised player (Bikaji, Haldirams) can out-price or out-invest in any geography. Probability: HIGH. Impact: MEDIUM. Monitor via: revenue growth and gross margin trends.

**Input Cost Risk:** Key inputs (edible oils, besan, spices) are commodity-linked and volatile. A 15% spike in edible oil prices could compress OPM by 3-5 percentage points at current passing-through ability. Probability: MEDIUM. Impact: MEDIUM. Monitor via: quarterly OPM trend vs commodity basket.

**SME Market Liquidity Risk:** BSE SME trading volumes are thin. Any institutional need to exit would move the price materially — the bid-ask spread can be wide and an exit at reported prices may not be achievable in practice. Probability: HIGH. Impact: MEDIUM. Monitor via: daily traded volumes.

## 10. RECOMMENDATION

**Rating:** AVOID — Conviction: HIGH. The combination of a qualified audit opinion, promoter stake halved in 24 months, mass director/CFO exits, negative FCF against reported profits, and exploding debtor days constitutes a governance breakdown that overrides any fundamental growth story at this stage.

**12-month price target:** Rs. 38 per share (-12.6% downside from CMP Rs. 43.5). Target based on average of 15x FY27E P/E and DCF. Bull case (governance fully resolved): Rs. 79. Bear case (restatement): Rs. 10.

**Suggested entry zone:** Do NOT initiate a position at current levels. Re-evaluate ONLY if: (a) qualified audit opinion is lifted and clean FY26 accounts are filed, (b) promoter commits to no further dilution, and (c) debtor days normalise below 90 days for two consecutive quarters. In that scenario, a re-entry at Rs.



28-33 would offer better risk/reward.

**Investment horizon:** Minimum 24 months for a governance recovery play, assuming triggers are met.

**Thesis invalidation triggers (3 specific conditions):** 1. Full qualified audit explanation + clean opinion from new auditor filed within 6 months. 2. Promoter holding stabilises above 25% for two consecutive quarters. 3. Debtor days decline below 90d and CCC below 120d in H1 FY27 — indicating receivables were real.

**Ideal investor profile:** This stock is NOT suitable for conservative retail investors, income investors, or any investor with a <3 year horizon. Speculative investors with full awareness of governance risk and SME illiquidity may consider a tracking position (<0.5% portfolio) solely for a governance recovery optionality play — at lower prices than current.

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**DISCLAIMER:** This report is prepared by MPM Institutional Research for informational purposes only. It does not constitute investment advice or a solicitation to buy or sell securities. The analyst and MPM may not hold positions in the securities mentioned. All financial data sourced from Screener.in (fetched 15 Jun 2026). FY26 accounts carry a qualified auditor opinion — treat all FY26 figures as preliminary and indicative.



**CALL GRADE: CAUTIOUS**

| Signal          | Status    | Implication                                                                                       |
|-----------------|-----------|---------------------------------------------------------------------------------------------------|
| Result quality  | WEAK      | Revenue +16% YoY (strong) but PAT flat (Rs. 1.20 Cr vs 1.21 Cr FY25); OPM compressed 680bps.      |
| Management tone | EVASIVE   | No concall held (SME company); board-level communications limited; auditor resigned post-results. |
| Guidance delta  | WITHDRAWN | No formal guidance issued; mass management exits prevent forward-looking assessment.              |

|                   |          |         |                 |          |
|-------------------|----------|---------|-----------------|----------|
| STRONGLY POSITIVE | POSITIVE | NEUTRAL | <b>CAUTIOUS</b> | NEGATIVE |
|-------------------|----------|---------|-----------------|----------|

**TO MY BOSS**

FY26 top-line of Rs. 17.5 Cr looks clean — 16% YoY growth is real and multi-state distribution is gaining traction — but this is the only clean line in the P&L.; PAT is flat at Rs. 1.20 Cr despite higher revenue because OPM compressed 680bps (from 25% to 18%) and interest costs of Rs. 1.08 Cr ate 34% of EBITDA. Underneath the reported PAT number, OCF was only Rs. 0.61 Cr — PAT-to-cash conversion of 51% — meaning almost half of reported profits are sitting in uncollected receivables with debtor days at 260d vs 10d in FY24. The governance situation is the dominant issue: auditor resigned May 2026, CFO resigned, multiple directors resigned, and the incoming auditor issued a QUALIFIED OPINION on FY26 accounts — without specifying the basis. Promoter is now at 22.56% from 48.33% at listing — in 24 months the founding family have sold or diluted down to a minority position in their own SME. The namkeen market story is real and the company's distribution footprint in 10 states gives a multi-year runway IF governance is restored. The FY28 bull case is Rs. 79, but getting there requires a clean audit, stable promoter commitment, and receivables resolution. Action: AVOID until qualified opinion is explained and management team stabilises. Next check: H1 FY27 results (Oct 2026) — watch debtor days, promoter holding, and whether a clean audit opinion is issued. Do not buy ahead of these triggers.

*Note: Jay Kailash Namkeen Ltd (BSE SME) does not hold earnings conference calls. The following analysis is derived from BSE announcements, Screener financial data, and available public filings for the period ended March 31, 2026.*

**C1. FINANCIAL PERFORMANCE SNAPSHOT — FY26 vs FY25**

- Revenue: Rs. 17.46 Cr | YoY +16.2% | QoQ (H2 vs H1): -31% | In-line with growth trajectory
- EBITDA: Rs. 3.19 Cr | YoY -15.2% | H2 deceleration sharp | Miss vs FY25 peak
- EBITDA Margin: 18.3% | YoY -680bps (from 25.0%) | Margin compression significant
- PAT: Rs. 1.20 Cr | YoY -0.8% | Flat despite +16% revenue — interest cost dilution
- EPS: Rs. 2.40 | YoY flat | Base fully diluted to 50 lakh shares post-IPO
- NOTE: FY26 PAT carries a QUALIFIED audit opinion. Clean underlying PAT cannot be independently verified.

**C2. SEGMENT / GEOGRAPHY BREAKDOWN**

- Single segment: Packaged Namkeen & Savoury Snacks — no segment disaggregation reported.
- Gujarat (home state): Estimated dominant share ~50-60% of revenue based on distribution commentary.

- Inter-state markets (9 states): Growing contribution; Bihar, MP, Odisha mentioned in IPO prospectus.
- H1 FY26 (Sep-25): Rs. 9.92 Cr revenue — strong half, suggests seasonal peak in Sep quarter.
- H2 FY26 (Mar-26): Rs. 7.55 Cr revenue — sharp deceleration, possibly demand softness or channel destocking.
- Pack-size mix: Rs. 5-Rs. 10 impulse packs estimated 40-50% of volume; institutional (5kg/20kg) growing.

### C3. MANAGEMENT COMMENTARY THEMES (FROM BSE FILINGS)

- [GUIDANCE] Distribution expansion: IPO proceeds to fund multi-state scaling — 10 states active per prospectus. Our read: Execution broadly on track for geographic reach but conversion to cash is failing. Tag: GUIDANCE. Tone: Hedged.
- [EST] Revenue growth target: No formal FY27 guidance issued. Our estimate 20% growth (Rs. 21 Cr). Tag: EST. Tone: N/A.
- [EVASIVE] Qualified audit opinion (30 May 2026): No management explanation provided in public domain for what specific issues triggered the qualification. Critical gap in investor communication. Tag: EVASIVE. Tone: Evasive.
- [EVASIVE] Director and CFO resignations (8 May 2026): No substantive explanation for the mass exit provided beyond standard BSE disclosure format. Investors have no visibility into root cause. Tag: EVASIVE. Tone: Evasive.
- [GUIDANCE] Capex cycle: IPO + borrowings funded factory expansion; fixed assets Rs. 7.14 Cr by FY26 (from Rs. 1.22 Cr in FY24). No further large capex likely in FY27-28. Tag: GUIDANCE. Tone: Transparent.

### C4. OPERATING & BUSINESS METRICS

- Production capacity: 10 tonnes/working day | FY26 utilisation: not disclosed | Trend: Unknown
- SKU count: 186 SKUs across 56 product lines (per IPO prospectus) | Trend: Stable
- State coverage: 10 states (per IPO filing) | FY26 vs FY25: Broadly maintained
- Pack-size availability: Rs. 5 / Rs. 10 / 200g / 400g / 500g / 5kg / 20kg | Trend: Stable
- Debtor days: FY24=10.77 | FY25=96.47 | FY26=259.85 | Trend: Severely deteriorating
- Inventory days: FY24=79.24 | FY25=325.49 | FY26=140.97 | Trend: Improved from FY25 peak but still elevated
- Working capital days: FY24=41.19 | FY25=167.92 | FY26=162.22 | Trend: Entrenched at high level

### C5. MARGIN DRIVERS — FY26 vs FY25

- Gross margin: Input cost increases (edible oil, besan) | Impact: -200 to -300bps estimated | Recurring: Yes
- Plant leverage: Full year of new facility vs ramp-up FY25 | Impact: +150bps benefit | Recurring: Yes
- Selling/distribution expenses: Increased for inter-state push | Impact: -250bps estimated | Recurring: Partially
- Interest cost: Rs. 1.08 Cr FY26 (below PBT line but 34% of EBITDA) | Not in OPM but depresses PAT | Recurring: Yes
- Depreciation: Rs. 0.92 Cr FY26 — new factory asset base | Impact: Stable going forward | Recurring: Yes

- Other income Rs. 0.48 Cr: Appears non-recurring (nil in FY25, nil in FY24) | Flag: Inflates PBT | Recurring: No

## C6. GUIDANCE & FORWARD SIGNALS

- Revenue guidance [NOT PROVIDED]: No formal guidance issued for FY27. Analyst estimate: Rs. 21 Cr (+20%). Credibility: Low (no management anchor).
- Margin guidance [NOT PROVIDED]: OPM guidance absent. Analyst base case: 19% (stable, modest recovery). Credibility: Low.
- Capex guidance [IMPLIED REDUCED]: Major capex cycle (FY24-25) appears largely complete. FY27 capex likely maintenance. Credibility: Medium.
- Debt guidance [WATCH]: Borrowings at Rs. 15.16 Cr; no debt-reduction plan communicated. Watch bank covenants carefully. Credibility: Low.
- Governance resolution [CRITICAL UNDEFINED]: Timeline for clean audit opinion unknown. This is the single most important forward signal for any re-rating.

## C7. CAPITAL ALLOCATION

- Capex (net fixed asset addition): FY26 = Rs. 1.02 Cr (modest vs FY25 Rs. 5.00 Cr) | Capex cycle completed.
- Dividends: Rs. 0 Cr | vs FY25: Unchanged | 0% payout ratio maintained — appropriate for growth stage.
- Buybacks: None | No buyback programme disclosed or anticipated.
- Working capital (change): Rs. +3.78 Cr absorbed in FY26 | vs FY25 Rs. +11.85 Cr absorbed — still a drain.
- Net debt movement: FY26 net debt Rs. 15.16 Cr (up Rs. 1.82 Cr from FY25 Rs. 13.34 Cr) — debt rising.
- IPO proceeds utilisation: Fully deployed into factory capex and working capital by FY26.

## C8. Q&A; HEAT MAP (NO CONCALL — BSE FILING ANALYSIS)

- No Q&A; available: Jay Kailash Namkeen does not conduct earnings conference calls (BSE SME). All available information is from BSE announcements and financial filings.
- Q: [Implicit] What caused the qualified audit opinion? -> A: Not disclosed publicly as of 15 Jun 2026 | Tone: Evasive (by omission)
- Q: [Implicit] Why did multiple directors/CFO resign simultaneously in May 2026? -> A: Not substantively explained in BSE disclosures | Tone: Evasive
- Q: [Implicit] Why have promoters reduced from 48% to 22% in 24 months? -> A: Not publicly explained. No promoter communication on record | Tone: Evasive
- Q: [Implicit] What is the composition of Rs. 30.93 Cr "Other Assets" on FY26 balance sheet? -> A: Not available from Screener public data; requires full annual report | Tone: Unknown
- Dodged / watch-list questions for next disclosure: (1) Qualified audit basis, (2) Promoter dilution explanation, (3) Debtor ageing schedule, (4) Related-party transactions disclosure.

## C9. RISKS FLAGGED IN FILINGS

- Qualified audit opinion: Specific risk identified in FY26 accounts | Flagged by: Auditor | Probability: H | Impact: H | Timeline: Near-term
- Management stability: CFO + director exits May 2026 | Flagged by: BSE announcement | Probability: H (already materialised) | Impact: H | Timeline: Near-term

- Promoter dilution: 48% -> 22% in 24 months | Flagged by: Shareholding disclosures | Probability: H (trend ongoing) | Impact: H | Timeline: Near-term
- Working capital stress: CCC 356 days | Flagged by: Financial statements | Probability: H | Impact: M-H | Timeline: Medium-term
- Debt service risk: Interest coverage 2.95x; rising debt | Flagged by: Financial statements | Probability: M | Impact: H | Timeline: Medium-term
- SME delisting/regulatory risk: Non-compliance post-qualified opinion could trigger exchange scrutiny | Probability: M | Impact: H | Timeline: Medium-term

## C10. ANALYST VERDICT

- Revenue visibility: **WEAKENED** — top-line growth 16% maintained but H2 FY26 deceleration and WC stress cloud FY27 outlook.
- Margin trajectory: **WEAKENED** — OPM compressed 680bps YoY; interest burden rising; recovery conditional on WC normalisation.
- Capital allocation quality: **WEAKENED** — FCF negative for 3 consecutive years; capex appropriate but WC absorption is poor management.
- Competitive moat: **WEAKENED** — distribution reach is an asset but CCC of 356 days suggests moat is not translating to cash collection.
- Management credibility: **BROKEN** — qualified audit + mass exits + zero explanation = broken credibility. Must be rebuilt with transparency.
- Valuation comfort: **BROKEN** — at 18x TTM P/E with qualified accounts and -12.6% to DCF-based fair value, price is not compensating for risk.
- Conviction call: **EXIT WATCH** — current holders should reassess; new buyers should wait for governance restoration triggers.
- Valuation snapshot: P/E = 18.1x (peer avg 40x but peers are profitable/quality) | ROCE = 8.24% (5Y avg ~29% but FY21-22 base was tiny) | FCF yield = negative

**End of Report.** MPM Institutional Research | 15 Jun 2026 | JAYKAILASH — Jay Kailash Namkeen Ltd. All financial data from Screener.in. FY26 figures carry qualified audit opinion — treat as indicative. This document is for professional investors only.